

Palantir Technologies Inc.

PLTR NYSE

Hold	\$182.23 ▼ 2.23%	12M Price Target \$195.00	52-Week Range \$106.37 – \$207.52	Market Cap \$437.93B
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PLTR: Profit-Taking After August Rip, Policy Still Friend

WHAT HAPPENED

- PLTR is down 2.2% today after an August rally that took it near 52-week highs. This looks like classic profit-taking after software names had a huge month — Investopedia and Quartz both flagged software as August's big winner, and when a stock is 75% up its 52-week range, weak hands sell on any excuse.
- Cathie Wood (ARK) trimmed \$26M of PLTR to fund other bets. Not a thesis-killer — she still owns a ton — but it's a "the growth crowd is rebalancing" signal, and options flow is leaning bearish (put/call ratio 1.26, meaning more people are betting on downside than upside near-term).

WHY IT MATTERS

Here's what today is really telling you: PLTR isn't broken, it's just catching its breath after a monster run, and the smart money is testing whether \$180 holds. The bearish options flow plus cluster insider selling (multiple sales by Buckley in the \$172-174 range) means people close to the company think the stock is fully valued here — that doesn't mean it crashes, it means upside from these levels needs a new catalyst (earnings beat, big contract win, or a policy tailwind). The bigger picture is still favorable: the Trump administration's push to consolidate federal data systems and expand DoD software modernization is Palantir's exact wheelhouse, so any pullback into the \$160s is likely a gift, not a warning. Watch whether \$180 becomes support or resistance over the next week — that's the tell.

POLICY & POLITICAL WATCH

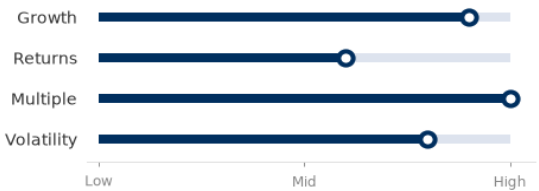
The key policy tailwind right now is the FY2027 defense budget cycle and the ongoing DoD software modernization push — Palantir's Maven Smart System and TITAN contracts are the poster children for how the Pentagon wants to buy AI going forward, and the administration has been vocal about wanting commercial software (not custom-built defense contractor stuff) running military operations. Watch for any noise around the continuing resolution debate in Congress this month — if the government shutdown fight drags into October, federal contract awards get delayed and PLTR's Q4 bookings could slip. On the flip side, any executive order tightening federal AI procurement standards (favoring platforms already certified) is a moat-widener for Palantir since they're already deeply embedded.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$182.23
12M Price Target	\$195.00
Upside / (Downside)	+7.0%
Market Cap	\$437.93B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,600M
FY2026E EPS	\$0.62
FY2027E EPS	\$0.88
Fwd P/E	294.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$200.00	\$185.00	\$165.00
6 Months	\$230.00	\$195.00	\$150.00
1 Year	\$260.00	\$200.00	\$130.00
2 Years	\$320.00	\$220.00	\$110.00
5 Years	\$500.00	\$300.00	\$90.00
10 Years	\$900.00	\$450.00	\$75.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+3.7% over 5 days) is catching a bid — likely on geopolitical risk and OPEC dynamics. Defense/AI software remains structurally hot due to federal spending priorities.

COOLING OFF: Real Estate, Healthcare, and Utilities are all down 2%+ over 5 days — classic "rates staying higher for longer" reaction. Consumer Staples also weak, suggesting risk-on rotation.

ROTATION WATCH: Money is rotating OUT of defensive/rate-sensitive sectors and into cyclical and energy. That's actually a mixed signal for PLTR — tech had its August moment and is now taking a breather while energy takes the baton.

RELATED PLAY: If you like the government AI thesis but not the PLTR valuation, look at Booz Allen Hamilton (BAH) or Leidos (LDOS) — they're the "picks and shovels" consultants that implement PLTR-style software at federal agencies, trading at much saner multiples.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI infrastructure king — every dollar spent on AI software eventually flows through their GPUs, and federal AI spending is a direct tailwind.
- AVGO (Broadcom): Riding the custom AI chip wave and enterprise software (VMware) momentum — Zacks flagged it alongside PLTR as a top pick.

PLTR CONTEXT: PLTR led the software sector rebound in August (per GuruFocus), which means it's the tip of the spear — great on the way up, first to get sold on the way down. Today's 2% dip while NVDA and AVGO hold up better tells me PLTR-specific profit-taking is happening, not a sector-wide flush. That's normal after a big run and not a red flag yet.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-3% of portfolio (smaller than you'd think — it's volatile)

Entry Points: \$165-175 on macro pullbacks; avoid chasing above \$190

Time Horizon: 12-24 months

Thesis Invalidation: Government revenue growth slows below 30% YoY, or a major federal contract cancellation, or insider selling accelerates meaningfully

Hedging: Buy protective puts around earnings, or pair with a short on a lower-quality AI name like C3.ai